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Nvidia Equity Research


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Nvidia Record Buyback, Security Release Signal Confidence: React

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Credit Primer
Could Double Buyback Authorization

(Bloomberg Intelligence) -- RECENT EVENT REACTION: Nvidia's $150 billion buyback increase, taking its remaining authorization to $235 billion through fiscal 2028, is positive but not thesis-changing. We view it primarily as a return of excess cash rather than a fundamental catalyst, though it reinforces confidence that rising AI-infrastructure and ecosystem investments won't crowd out shareholder returns. Nvidia's new Open Agent Safety Platform also positions the company to help set industry standards around agent security as safety concerns intensify. Extending governance into Vera CPUs and BlueField DPUs could further embed Nvidia across the full AI stack while helping address recent concerns around agentic-AI risk. (09/28/26)

1. Nvidia Growth Drivers Broaden Past Hyperscalers: Equity Outlook

THESIS: Nvidia's fiscal 2028 growth outlook signals a broader, more durable AI spending cycle, with revenue supported by customers beyond the top five hyperscalers and rising dollar content per gigawatt of AI infrastructure. A top-line gain of 70% could outpace hyperscalers' calendar 2027 capex growth as sovereign, enterprise and AI cloud demand scales, while Vera Rubin -- its next-generation AI platform -- expands opportunity across compute, networking and software. Greater system content could offset GPU unit-share losses to custom ASICs. Rising memory and component costs, however, may push gross margins toward the low-70% range despite higher system prices. (08/27/26)

Financial Review

Earnings

2. Nvidia Revenue Growth to Surge, Margins Soften: Earnings Outlook

Post-2Q Earnings Outlook: Nvidia's jaw-dropping fiscal 2028 revenue-growth guidance of about 70% vs. consensus near 45% implies more than $100 billion of potential upside to current estimates. Some uplift could come from pricing, including a recent hike of about 15%, according to Bloomberg News, but demand also appears substantially stronger: customer forecasts point toward roughly 100% growth, with Nvidia's 70% outlook constrained by currently available supply. That leaves additional upside if Nvidia can secure more memory and manufacturing capacity through next year.

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The offset is a meaningful reset in gross margins as they fall from 74% in 3Q to a 71-72% trough in 4Q, before stabilizing around 72-73% in fiscal 2028 as price increases take effect. Still, demand breadth continues to improve, with frontier labs driving significant growth and expected to represent 25% of demand in 2028. Vera Rubin production shipments appear ahead of schedule, materially reducing transition risk. Additional disclosures on supply commitments, credit exposure and a new AI-cloud revenue-sharing model should ease concerns on vendor financing and the demand profile beyond the top five cloud-service providers (08/27/26)

Highlights From Recent Results:

- Fiscal 2028 Revenue Growth Outlook of About 70% Far Exceeds Current 45% Consensus
- Unconstrained Demand Points Toward Roughly 100% Growth, Leaving Supply-Driven Upside
- Gross Margin Could Bottom at 71-72% in 4Q Before Stabilizing at 72-73% in Fiscal 2028
- ACIE Continues to Outgrow Hyperscale and Should Drive More of 3Q Sequential Data-Center Growth
- Rubin Could Reach About 20% of 3Q Data-Center Revenue as Production Ramp-Up Accelerates

Additional Resources:

- Earnings Release | NSN »
- Earnings Call Transcript | DOCC »

Long-Term Drivers

3. Rubin, Inference Expansion Sustain Nvidia’s Long-Term Growth

Nvidia is poised to grow revenue faster than hyperscalers' total 2027 data-center capex as growth broadens beyond GPU units to a wider mix of customers and products. AI cloud providers, sovereign AI programs and enterprise AI-infrastructure deployments add a second demand layer, while Rubin -- the company's next-generation AI platform -- expands its content opportunity across compute, networking and software. The Vera CPU could contribute about $20 billion in fiscal 2027 revenue and develop into a larger stand-alone business as agentic workloads require more CPU resources, while the Groq LPU (language processing unit) adds exposure to premium, low-latency inference. Together, these drivers can help Nvidia capture a larger share of each infrastructure dollar, even as hyperscalers shift some workloads to their own custom silicon. (08/27/26)

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Bloomberg Intelligence

Bloomberg Interactive Model (Click to Open)

NVIDIA Corp
NVDA US

Bloomberg Interactive Model V2.1

NVIDIA Corp

	2025	2026	2027	2028
Key Financial Metrics				
Total Revenue	130,497	215,938	391,726	553,867
Consensus			396,541	574,283
Gross Margin (non-GAAP)	75.5%	71.3%	75.1%	75.5%
Consensus			74.9%	74.2%
Operating Margin (non-GAAP)	66.5%	63.6%	67.0%	67.8%
Consensus			66.2%	66.3%
Diluted EPS (non-GAAP)	2.99	4.77	7.51	10.94
Consensus			9.03	13.09
Key Drivers				
Segment Revenue				
Data Center	115,186	193,737	364,685	522,959
Consensus			372,298	548,748
Hyperscale	53,796	105,636	182,267	260,278
Consensus			186,105	270,866
AI Clouds, Industrial & Enterprise	61,390	88,101	182,418	262,681
Consensus			183,425	273,880
Edge Computing	15,311	22,201	27,041	30,908
Consensus			26,764	30,524

The Bloomberg Interactive Model uses Bloomberg's detailed consensus estimates to create an integrated three-statement financial model.

Source: MODL <GO>, Bloomberg Intelligence

Bloomberg Intelligence

Valuation

Valuation

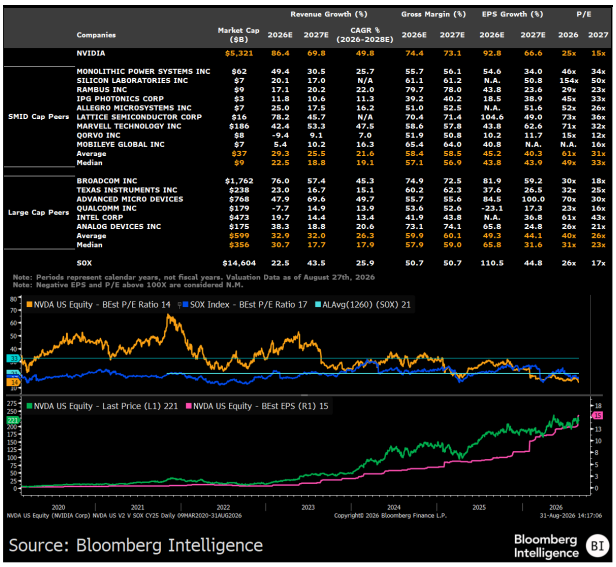
4. Nvidia Valuation Appears Conservative vs. Semiconductor Peers

Nvidia trades at about 15x calendar 2027 earnings, below the SOX Index at 18x and well below large-cap semiconductor peers at about 25x. That valuation looks conservative given Nvidia's stronger visibility, expanding opportunity beyond hyperscalers and additional growth drivers across Rubin, CPUs, networking and inference. Custom-silicon competition and lower gross margins remain headwinds, but continued estimate revisions can support upside even without meaningful multiple expansion. (09/02/26)

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Nvidia Valuation vs. Peers



	Companies	Market Cap ($B)	Revenue Growth (%) 2026E	2027E	CAGR % (2026-2028E)	Gross Margin (%) 2026E	2027E	EPS Growth (%) 2026E	2027E	P/E 2026	2027
	NVIDIA	$5,321	86.4	69.8	49.8	74.4	73.1	92.8	66.6	25x	15x
SMID Cap Peers	MONOLITHIC POWER SYSTEMS INC	$62	49.4	30.5	25.7	55.7	56.1	54.6	34.0	46x	34x
	SILICON LABORATORIES INC	$7	20.1	17.0	N/A	61.1	61.2	N.A.	50.8	154x	50x
	RAMBUS INC	$9	17.1	20.2	22.0	79.7	78.0	43.8	23.6	29x	23x
	IPG PHOTONICS CORP	$3	11.8	10.6	11.3	39.2	40.2	18.5	38.9	45x	33x
	ALLEGRO MICROSYSTEMS INC	$7	25.0	17.5	16.2	51.0	52.5	N.A.	51.6	52x	26x
	LATTICE SEMICONDUCTOR CORP	$16	78.2	45.7	N/A	70.4	71.4	104.6	49.0	73x	36x
	MARVELL TECHNOLOGY INC	$186	42.4	53.3	47.5	58.6	57.8	43.8	62.6	71x	32x
	QORVO INC	$8	-9.4	9.1	7.0	51.9	50.8	10.2	11.7	18x	12x
	MOBILEYE GLOBAL INC	$7	5.4	10.2	16.3	65.4	64.0	40.8	N.A.	N.A.	16x
	Average	$37	29.3	25.5	21.6	58.4	58.5	45.2	40.3	61x	31x
	Median	$9	22.5	18.8	19.1	57.1	56.9	43.8	43.9	49x	33x
Large Cap Peers	BROADCOM INC	$1,762	76.0	57.4	45.3	74.9	72.5	81.9	59.2	30x	18x
	TEXAS INSTRUMENTS INC	$238	23.0	16.7	15.1	60.2	62.3	37.6	26.5	32x	25x
	ADVANCED MICRO DEVICES	$768	47.9	69.6	49.7	55.7	55.6	84.5	100.0	70x	30x
	QUALCOMM INC	$179	-7.7	14.9	13.9	53.6	52.6	-23.1	17.3	23x	16x
	INTEL CORP	$473	19.7	14.4	13.4	41.9	43.8	N.A.	36.8	61x	43x
	ANALOG DEVICES INC	$175	38.3	18.8	20.6	73.1	74.1	65.8	24.8	26x	21x
	Average	$599	32.9	32.0	26.3	59.9	60.1	49.3	44.1	40x	26x
	Median	$356	30.7	17.7	17.9	57.9	59.0	65.8	31.6	31x	23x
	SOX	$14,604	22.5	43.5	25.9	50.7	50.7	110.5	44.8	26x	17x

Note: Periods represent calendar years, not fiscal years. Valuation Data as of August 27th, 2026
Note: Negative EPS and P/E above 100X are considered N.M.

Key Topics

AI Accelerators $1.4T Forecast

AI Accelerator Market to Hit $1.4 Trillion as Chip Mix Shifts

The AI-accelerator market should reach $1.4 trillion by 2030, up from our prior $560 billion view, as higher system values and broader deployment lift GPU and custom-chip revenue. Our analysis shows GPUs retaining roughly 65-70% of the market as rising memory and other input costs lift pricing, while custom ASICs gain share as hyperscalers and frontier labs push proprietary chips into high-volume inference. Enterprise, sovereign and cloud demand should extend growth beyond the largest US platforms. (09/30/26)

5. AI Accelerator Market to Expand to $1.4 Trillion

Our AI-accelerator market forecast rises to $1.4 trillion by 2030, 150% above our prior view, with total revenue set to cross $1 trillion in 2028. Persistent increases in hyperscaler capital-spending plans through 2026, driven by expanding inference demand, lift our 2026-30 compound annual growth rate to 38%. GPUs should still account for about 65-70% of accelerator revenue by 2030 even as cloud providers and frontier labs accelerate custom-silicon adoption.

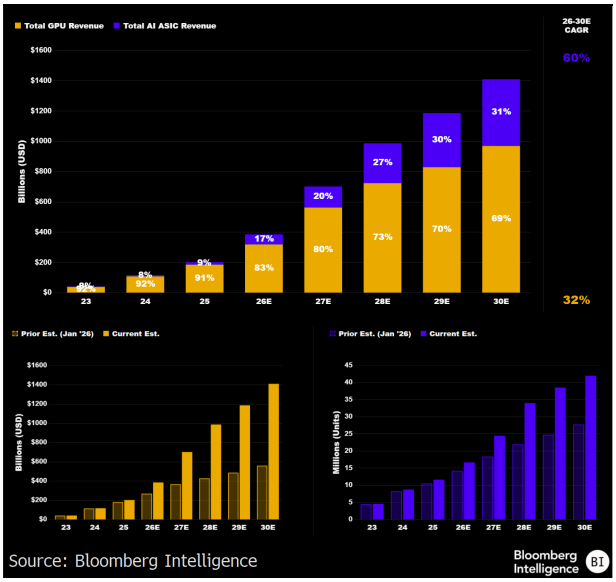
Both volume and pricing drive the upward revision. Our 2030 unit forecast rises 50%, while blended average selling prices increase 65% as rack-scale architectures, greater high-bandwidth-memory content and tighter system integration lift the value of each deployment.

Custom silicon should take more than 30% of accelerator revenue by 2030, versus about 10% in 2025, but that share gain comes within a rapidly expanding market rather than at the expense of absolute GPU growth. GPU revenue should compound at more than 32% annually through 2030, up from our prior 23% forecast. (09/30/26)

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AI Accelerator Total Addressable Market: GPUs and Custom ASICs



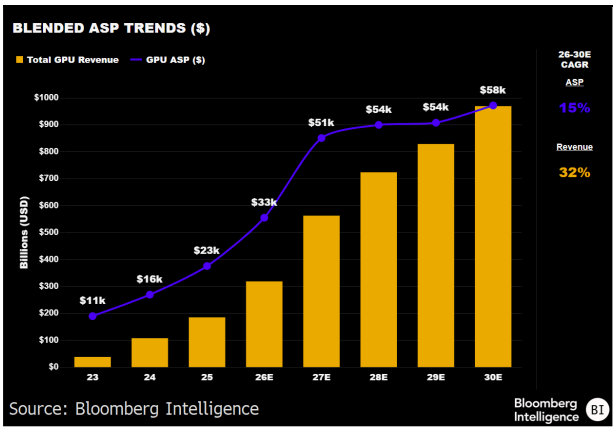
6. Rising HBM Costs, Content Drive GPU Revenue Revision

GPU revenue growth is increasingly driven by system value rather than unit expansion alone. Our annual data-center GPU deployment forecast rises to 16 million units by 2030 from 14 million previously. Even so, projected revenue rises 85% to more than $900 billion, reflecting an increase in our blended average selling price forecast to more than $58,000 per GPU from about $36,000.

Higher pricing reflects the shift from stand-alone silicon toward rack-scale systems such as Blackwell and Vera Rubin NVL72, deeper integration and greater memory content, as high-bandwidth memory and server DRAM costs rise, with prices expected to increase 70-80% in 2027. The GPU supplier base is also broadening, with our 2030 revenue forecasts for AMD and the "Other GPU" category rising 145% and 622%.

Specialized inference suppliers and regional alternatives, including Cerebras, Groq and Huawei, could capture more than 10% of GPU-market revenue in aggregate by 2030, up from about 3-5% previously. Higher AMD and alternative-GPU shipments aid faster unit growth than Nvidia, while rising rack-scale value supports continued GPU revenue growth. (09/30/26)

AI GPU Revenue & ASP Growth, 2023-30



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7. HBM Content Scaling, Inflation Drive GPU Prices Higher

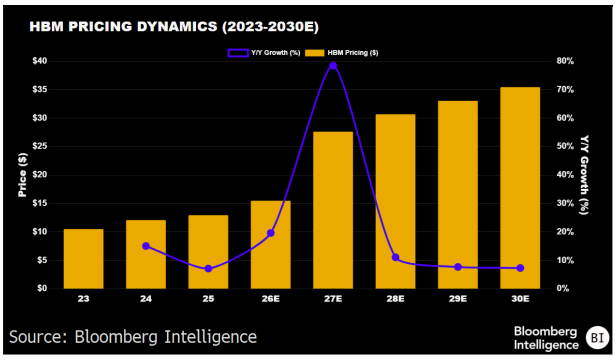
Rising high-bandwidth memory content and contract pricing are becoming key drivers of GPU average selling prices, supporting the increase in our AI-accelerator revenue forecast through 2030. As frontier models move toward multiturn agentic workloads and longer context windows, memory capacity per accelerator has increased from 80 and 141 gigabytes in Hopper H100 and H200 to 192 and 288 gigabytes in Blackwell GB200 and GB300. Memory can consequently represent about 60% of die- and package-level bill-of-materials costs for next-generation platforms such as Vera Rubin.

Higher memory content is coinciding with rising HBM contract pricing. Average HBM4 and HBM4E prices are expected to increase 70-80% in 2027, aligning with the timing of our forecast for a major uplift in average GPU prices. Nvidia's supply commitments have risen to $279 billion from $119 billion, with management indicating that well over half is tied to HBM and other advanced-memory procurement.

Higher input costs are flowing into full-system pricing rather than being absorbed entirely by accelerator vendors. Server-level price increases of more than 15% on Grace Blackwell and Vera Rubin racks help lift our scenario for Nvidia’s blended 2030 GPU average selling price.

Greater memory capacity and bandwidth can also improve token throughput per gigawatt, supporting hyperscalers’ willingness to pay more per accelerator. HBM-driven price expansion, rather than unit growth alone, is therefore a major contributor to our 2030 GPU-market revenue forecast exceeding $1 trillion. (09/30/26)

HBM Memory Pricing Forecast



8. Custom Chip Revenue to Grow 60% as Units Pass GPUs

Custom chips are the largest single driver of our AI-accelerator forecast revision, with higher average selling prices contributing more to revenue growth than unit expansion. Our 2026-30 custom-chip unit forecast rises to a 36% compound annual growth rate from 32% previously, while revenue growth increases to 60% from 42%. More than two-thirds of the revenue uplift comes from higher pricing, with increased units accounting for roughly one-third.

The pricing increase reflects a sharp change in custom-silicon design. Two years ago, Google was the main hyperscaler deploying cutting-edge proprietary chips for training and inference. Amazon, Meta, Microsoft and others are now developing leading-edge accelerators with greater memory content, advanced chiplet packaging and deeper system integration, raising the silicon and system value of each deployment.

Faster adoption pulls the unit crossover forward to 2027, when annual custom-chip shipments should exceed general-purpose GPUs. Our prior forecast had the two maintaining roughly equal unit share through the end of the decade.

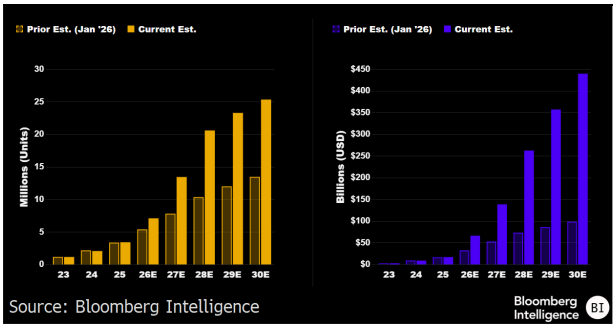
Broadcom and Marvell remain key US design partners, while hyperscalers are increasingly diversifying toward Asian suppliers such as MediaTek and Alchip. That broader ecosystem should accelerate

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deployment as cloud providers seek lower inference costs and greater control over data-center power consumption. (09/30/26)

ASIC Unit and Revenue Forecast Revision, 2023-30



9. Memory, Advanced Nodes Lift Custom-Chip Prices

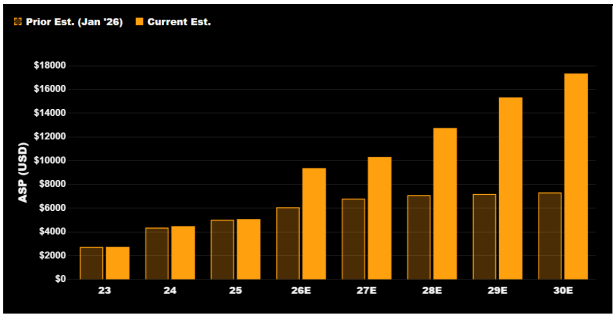
Custom-chip average selling prices should rise sharply as hyperscalers move proprietary accelerators to leading-edge process nodes and more complex 2.5D and 3D packaging. Earlier custom accelerators used 7-nanometer and 5-nanometer processes with relatively modest memory configurations, while next-generation designs increasingly resemble flagship merchant GPUs in logic and memory content. We now expect blended custom-chip prices to be more than 135% above our prior 2030 scenario.

Earlier Google TPU v4/v6 and AWS Trainium1 designs carried about 16-32 gigabytes of HBM on 7-nanometer and 5-nanometer processes. Google TPU v7 Ironwood and TPU v8i Sunfish increase that to 192 and 288 gigabytes of HBM3e and HBM4 on 3-nanometer nodes. AWS' Trainium3 rises to 144 gigabytes, Microsoft's Maia 200 to 216 gigabytes and Meta's MTIA 400/500 to 284-288 gigabytes across increasingly advanced processes. OpenAI's Jalapeño also incorporates 216 gigabytes of HBM4 on a 3-nanometer N3P process.

HBM stacks, advanced logic wafers and packaging account for a growing share of custom-accelerator manufacturing costs. Multidie, reticle-sized chiplets and six to eight HBM stacks raise package-level bill-of-materials costs for design partners such as Broadcom and Marvell.

Hyperscalers can justify the higher unit cost when workload specialization, custom SerDes and direct-attached memory improve token throughput per watt and reduce total cost of ownership relative to general-purpose GPU systems. Leading-edge nodes and higher memory density are turning custom chips into higher-value components of AI infrastructure rather than simply lower-cost GPU alternatives. (09/30/26)

ASIC ASP Forecast Revision, 2023-30



Source: Bloomberg

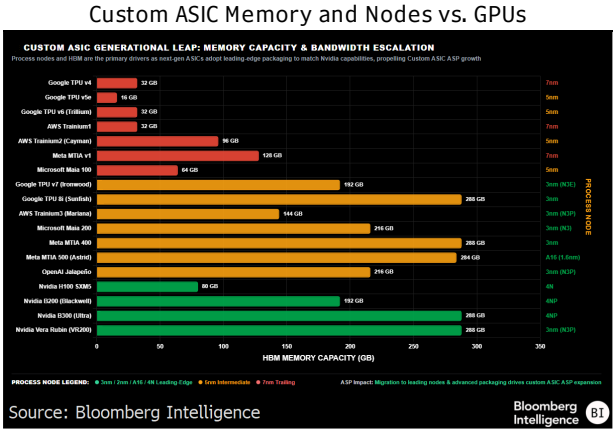
10. Custom-Chip Memory, Node Specs Catch Up to GPUs

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(09/30/26)

Custom ASIC Memory and Nodes vs. GPUs



Nvidia Hugging Face Deal

Nvidia's Hugging Face Deal Deepens Its AI Ecosystem Moat

Nvidia's $12.9 billion acquisition of Hugging Face could extend its AI stronghold from hardware into the model-distribution layer, strengthening CUDA developer lock-in while expanding the on-ramp for sovereign and enterprise AI. Combined with over $500 billion in supply, financing, and investment commitments, the deal reinforces a vertically integrated ecosystem spanning models, developers, compute and networking -- potentially insulating Nvidia from rising custom-ASIC competition. (09/09/26)

11. Hugging Face Deal Deepens NVIDIA's Software Moat

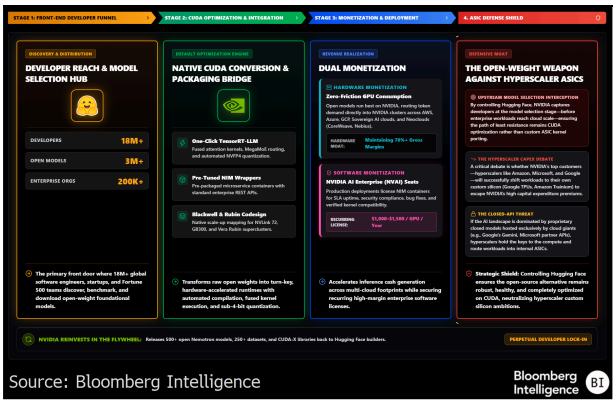
Acquiring Hugging Face for $12.9 billion strategically defends Nvidia's software moat, moving the company beyond hardware into the distribution layer for open-source models. Hugging Face reaches more than 18 million developers and hosts over 3 million models, providing NVIDIA with a massive direct channel to distribute its CUDA-optimized models, Nemotron, NVIDIA Inference Microservices (NIMs) and AI Enterprise software. By anchoring the platform's vast model registry to CUDA-native software, NVIDIA builds a powerful hedge against hyperscaler custom ASICs, ensuring that developer workflows remain natively optimized for its hardware even as the model ecosystem fragments.

The deal's strategic value lies in securing developer mindshare at the critical entry point of model discovery, making near-term revenue secondary. NVIDIA has repeatedly noted that its massive installed base of CUDA-enabled GPUs and broad model compatibility attract developers, which ultimately pulls workloads onto its infrastructure. Controlling Hugging Face strengthens this flywheel. Even as the platform maintains its neutrality across diverse clouds and competing accelerators, the default deployment path will remain optimized for NVIDIA's full-stack architecture, defending its multi-year demand runway against custom-silicon alternatives. (09/09/26)

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Hugging Face Model/Developer Ecosystem

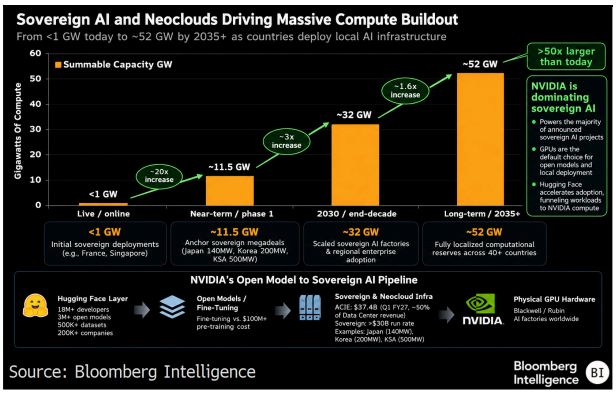


12. Open Models to Broaden NVIDIA's Sovereign AI Pipeline

The Hugging Face deal could accelerate Nvidia's sovereign AI opportunities by turning open-source models into a simpler on-ramp for localized data-center infrastructure. The platform makes it easier for governments, public institutions and regional enterprises to discover, customize and deploy models locally rather than relying on closed hyperscaler or frontier-lab APIs. As countries prioritize data residency, language customization and sovereign model governance, open-weight models reduce the cost of building AI capabilities from scratch and complement Nvidia's sovereign AI business, which already exceeds a $30 billion annualized run rate.

This shift also strengthens Nvidia's AI Clouds, Industrial and Enterprise (ACIE) pipeline, which already accounts for about 45% of data center revenue. Unlike hyperscalers that can use custom ASICs for proprietary workloads, sovereign and regional customers generally need flexible, full-stack GPU platforms, supporting multi-generational demand for Nvidia hardware and software. (09/09/26)

Sovereign AI GW Live Capacity Forecast



13. Nvidia's Financial Commitments Build Unassailable Moat

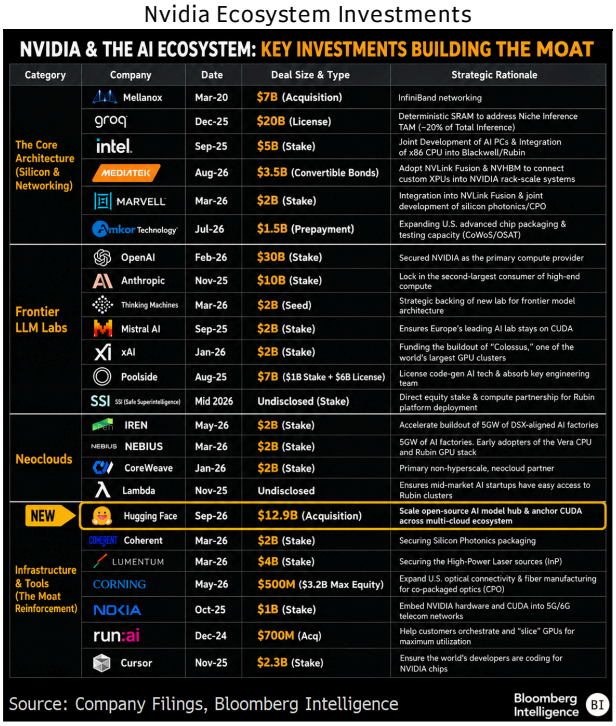
NVIDIA is leveraging its balance sheet to build a self-reinforcing AI ecosystem, supporting multi-generational demand with more than $500 billion in strategic commitments, guarantees and equity holdings. Supply and capacity commitments jumped to $279 billion from $119 billion sequentially, largely to secure HBM and advanced packaging, while $99 billion of non-marketable investments, $25 billion of future equity commitments, and $108.5 billion of guarantees extend its influence across customers and infrastructure.

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Hugging Face adds a critical software-distribution layer to that physical and financial foundation. NVIDIA's ecosystem now spans model creation and financing through frontier labs such as OpenAI and Anthropic, model distribution through Hugging Face, supply-chain exposure through Lumentum, Coherent and Corning, and compute/networking IP through Mellanox and Groq. Even as hyperscalers expand custom ASICs, this broader footprint helps keep NVIDIA embedded across more of the AI stack and reduces its reliance on GPU market share alone. (09/09/26)

Nvidia Ecosystem Investments



Category	Company	Date	Deal Size & Type	Strategic Rationale
The Core Architecture (Silicon & Networking)	Mellanox	Mar-20	$7B (Acquisition)	InfiniBand networking
	groq	Dec-25	$20B (License)	Deterministic SRAM to address Niche Inference TAM (~20% of Total Inference)
	intel.	Sep-25	$5B (Stake)	Joint Development of AI PCs & Integration of x86 CPU into Blackwell/Rubin
	MEDIATEK	Aug-26	$3.5B (Convertible Bonds)	Adopt NVLink Fusion & NVHBM to connect custom XPUs into NVIDIA rack-scale systems
	MARVELL	Mar-26	$2B (Stake)	Integration into NVLink Fusion & joint development of silicon photonics/CPO
	Amkor Technology	Jul-26	$1.5B (Prepayment)	Expanding U.S. advanced chip packaging & testing capacity (CoWoS/OSAT)
Frontier LLM Labs	OpenAI	Feb-26	$30B (Stake)	Secured NVIDIA as the primary compute provider
	Anthropic	Nov-25	$10B (Stake)	Lock in the second-largest consumer of high-end compute
	Thinking Machines	Mar-26	$2B (Seed)	Strategic backing of new lab for frontier model architecture
	Mistral AI	Sep-25	$2B (Stake)	Ensures Europe's leading AI lab stays on CUDA
	xAI	Jan-26	$2B (Stake)	Funding the buildout of "Colossus," one of the world's largest GPU clusters
	Poolside	Aug-25	$7B ($1B Stake + $6B License)	License code-gen AI tech & absorb key engineering team
	SSI (Safe Superintelligence)	Mid 2026	Undisclosed (Stake)	Direct equity stake & compute partnership for Rubin platform deployment
Neoclouds	IREN	May-26	$2B (Stake)	Accelerate buildout of 5GW of DSX-aligned AI factories
	NEBIUS	Mar-26	$2B (Stake)	5GW of AI factories. Early adopters of the Vera CPU and Rubin GPU stack
	CoreWeave	Jan-26	$2B (Stake)	Primary non-hyperscale, neocloud partner
	Lambda	Nov-25	Undisclosed	Ensures mid-market AI startups have easy access to Rubin clusters
NEW Infrastructure & Tools (The Moat Reinforcement)	Hugging Face	Sep-26	$12.9B (Acquisition)	Scale open-source AI model hub & anchor CUDA across multi-cloud ecosystem
	Coherent	Mar-26	$2B (Stake)	Securing Silicon Photonics packaging
	LUMENTUM	Mar-26	$4B (Stake)	Securing the High-Power Laser sources (InP)
	CORNING	May-26	$500M ($3.2B Max Equity)	Expand U.S. optical connectivity & fiber manufacturing for co-packaged optics (CPO)
	NOKIA	Oct-25	$1B (Stake)	Embed NVIDIA hardware and CUDA into 5G/6G telecom networks
	run:ai	Dec-24	$700M (Acq)	Help customers orchestrate and "slice" GPUs for maximum utilization
	Cursor	Nov-25	$2.3B (Stake)	Ensure the world's developers are coding for NVIDIA chips

Extended Earnings Outlook

Nvidia Demand, Content, Financing Prowess Set to Drive Growth

Nvidia's 70% fiscal 2028 growth outlook vs. consensus' 45%, alongside greater visibility into new financing programs and demand beyond the top five cloud providers, should be key drivers. Vera Rubin shipping earlier with a stronger ramp-up than expected, dollar content per gigawatt rising to as much as $40 billion from $25 billion, and Nvidia's ability to leverage its balance sheet to support AI cloud providers are additional tailwinds. Frontier labs' accelerated infrastructure build-out could drive upside to 2028 targets in the absence of supply hiccups. Financing support opens another demand channel and might provide further upside, though memory and component inflation should reset margins lower for the next year. (08/27/26)

14. Vera Rubin Adoption Broadens Growth Upside

Nvidia's visibility over the next 1.5 years and conviction in demand stood out more than its typical beat-and-raise, even against elevated expectations. The mix was equally important, with AI Clouds, Industrial and Enterprise (ACIE) rising 25% sequentially vs. 13% for hyperscale.

3Q revenue guidance of $108 billion implies about 12% sequential growth, with ACIE expected to lead. Hyperscale should accelerate in 4Q and fiscal 2028 as Vera Rubin supply expands, but we expect ACIE to continue growing faster. Rubin likely already represents about 20% of 3Q Data Center revenue,

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reducing transition risk as Blackwell bridges the architecture change rather than dropping off sharply.

The margin reset may be less damaging to earnings power than the percentage decline implies. A 74% gross margin would generate almost $80 billion of gross profit based on 3Q guidance, about 11% above 2Q and roughly $2-$3 billion higher than consensus despite about 100 bps of compression. Memory inflation could push margins to 71-72% in 4Q and 72-73% in fiscal 2028, though price increases beginning in fiscal 1Q28 should help stabilize the trajectory. Near-term focus shifts toward supply conversion and Nvidia's ability to offset higher memory costs while preserving customer economics. (08/27/26)

Bloomberg Interactive Scenario

Bloomberg Intelligence Interactive Scenario: NVDA US Equity

	2026	2027E	2028E	2029E
Segment Revenue				
Data Center	**193,737**	**383,619**	**672,234**	**935,490**
YoY Growth (%)		*98.0%*	*75.2%*	*39.2%*
Hyperscale	**123,781**	**204,280**	**352,436**	**471,544**
YoY Growth (%)		*65.0%*	*72.5%*	*33.8%*
ACIE	**69,956**	**179,338**	**319,798**	**463,946**
YoY Growth (%)		*156.4%*	*78.3%*	*45.1%*
Edge Computing	**22,201**	**28,947**	**35,045**	**39,478**
YoY Growth (%)		*30.4%*	*21.1%*	*12.6%*
Total	**215,938**	**412,566**	**707,280**	**974,968**
YoY Growth (%)		*91.1%*	*71.4%*	*37.8%*

Source: Bloomberg

15. Demand No Longer Capped by Hyperscale Capex Growth

Nvidia's preliminary 70% fiscal 2028 growth outlook looks like the quarter's most important data point because it extends visibility another year and puts the company about $200 billion above the cumulative $1 trillion revenue outlook it provided earlier this year.

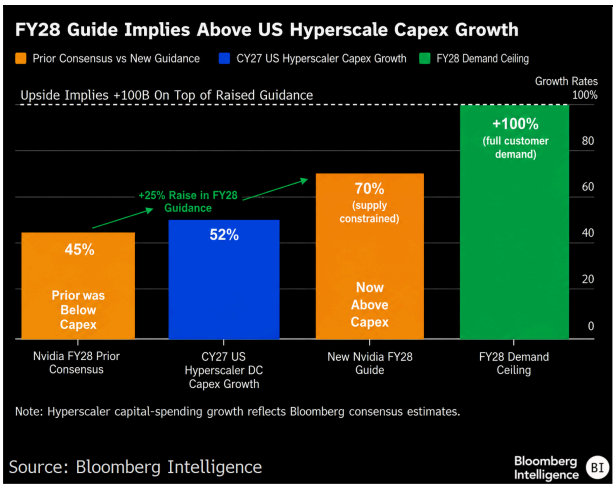
The outlook is also explicitly limited by supply rather than demand. Customer forecasts point to roughly 100% growth, leaving a substantial gap between requested capacity and what Nvidia currently expects to deliver. Our updated calendar 2027 US hyperscaler data-center capital-spending outlook calls for about 50% growth; Nvidia expanding 70% would represent a roughly 20 percentage-point gap, implying more growth from customers outside hyperscale. That is consistent with rising content per gigawatt, ACIE expanding faster than hyperscale and additional CPU, networking and inference revenue rather than a simple one-for-one relationship with cloud capex.

Some of the nominal growth could reflect pricing as higher memory costs are passed through beginning in fiscal 1Q28, but the outlook is based on more than inflation alone. Supply commitments jumped to $279 billion from $119 billion last quarter, primarily for memory and manufacturing capacity, showing the scale of resources being secured. The more constructive implication for sentiment is that upside increasingly depends on how much of the demand-supply gap Nvidia can close: 70% looks more like a current production ceiling than evidence of slowing end demand. (08/27/26)

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Nvidia Fiscal 2028 Growth vs. Hyperscaler Capex



16. Financing Now a Key Tool to Support AI Build-Out

Financing is becoming part of Nvidia's go-to-market model rather than merely capital allocation. The company has invested nearly $50 billion in frontier AI labs and is working with Apollo, BlackRock, Blackstone, Brookfield, Goldman Sachs and KKR to mobilize more than $500 billion of third-party infrastructure capital.

The distinction is important: Nvidia doesn't need to finance each build itself. Selective guarantees, take-or-pay support and potential residual-value protection can make projects financeable while institutional capital provides most funding. Demand from AI labs, for where Nvidia expects to leverage its balance sheet, could represent roughly one quarter of its business next year, turning access to capital into an additional demand driver.

The neocloud structure adds another layer of economics. Nvidia can sell hardware upfront, support only a portion of capacity and then participate in rental revenue above a minimum floor, creating a recurring usage-linked stream alongside the original system sale. Its 10-Q shows $36 billion of AI-cloud commitments and $108.5 billion of maximum gross guarantee exposure, including Ohio. That broadens the addressable market by helping customers overcome capital constraints, but also changes the quality-of-revenue debate: days sales outstanding rose to 60 from 45 as some large investment-grade customers received extended terms.

The key question isn't simply whether the financing is circular, but whether the additional hardware, recurring revenue and ecosystem returns adequately compensate Nvidia for the added credit and cash-flow risk. (08/27/26)

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Nvidia Financing Expands AI-Lab Compute Capacity

Nvidia Expands Capital Support to Unlock AI Infrastructure Demand

Initiative / Partner	NVIDIA Commitment & Exposure	Physical Scale & Revenue Potential	Strategic Impact
Compute Financing Alliance	Up to 25% residual-value guarantees on select deals.	Mobilizes $500B+ in private capital.	Bypasses public cloud spending limits; leverages SEC Dodd-Frank exemptions to lower debt costs for neoclouds.
PORTS-Pike Campus (Ohio)	$1.5B equity in SB Energy; up to $105B lease/power backstop over 20 years.	4.25 IT-GW initial capacity (expandable to 8 GW); $150B–$200B revenue per upgrade cycle.	Secures multi-generational host site running NVIDIA's full DSX platform with OpenAI as tenant.
OpenAI Partnership	$30B direct equity investment; extensive infrastructure credit support.	12 GW compute commitments (expandable to 16 GW); ~$600B cumulative compute revenue through 2030.	Locks in frontier model training on NVIDIA hardware while OpenAI develops custom inference ASICs.
Frontier Labs (Anthropic, SSI, xAI, TML)	Equity stakes including Anthropic ($10B), Thinking Machines ($2B), xAI, and SSI.	Anthropic: 1 GW compute; TML: 1 GW Vera Rubin capacity in 2027; Meta: millions of GPUs.	Ensures exclusive software lock-in to the CUDA ecosystem for next-generation reasoning/agentic models.
AI Neocloud Leases	$32.4B in uncommenced data center lease obligations.	Take-or-pay commitments and revenue-sharing models.	Secures data center real estate and anchors neocloud credit ratings to monetize token rentals.
IP & Talent Deals (Poolside, Intel, Groq)	Poolside ($1B equity, $6B license); Intel ($5B equity); Groq IP/talent acquisition.	Absorbs key software teams; co-develops custom x86 CPUs with Intel.	Builds open-weight Nemotron models to counter open-source threats and de-risks Arm dependency.

Note: About 25% of Nvidia's fiscal 2028 business could come from AI labs where Nvidia expects to use some form of balance-sheet support
Source: Bloomberg Intelligence

Bloomberg Intelligence BI

17. Vera Rubin Content Gains Offset Competitive Pressure

Nvidia's revenue opportunity per gigawatt has climbed from about $18 billion with Hopper to $25 billion with Grace Blackwell and roughly $40 billion with Vera Rubin, more than doubling in two generations. The step-up isn't simply higher GPU pricing. Vera Rubin expands the portion of each data center Nvidia can monetize across Vera CPUs, Rubin GPUs, NVLink scale-up connectivity, InfiniBand or Spectrum-X scale-out networking and software. Groq's language processing unit adds a premium, low-latency inference layer for select workloads. Most deployments should still center on Rubin NVL72, making Groq additive rather than a replacement for the core platform.

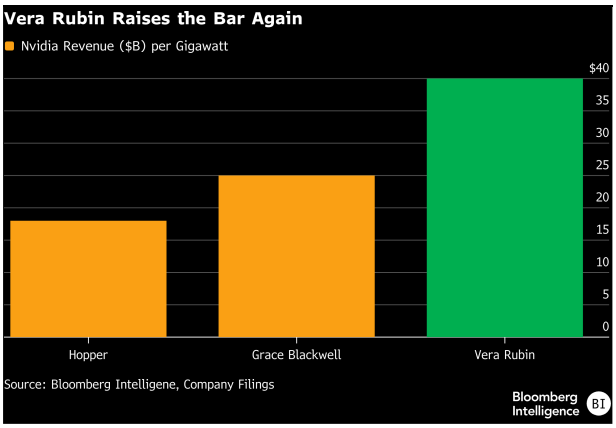
That matters because land and power are increasingly scarce resources. Nvidia can grow revenue faster than physical gigawatt additions if each gigawatt carries more Nvidia content, potentially allowing its growth to outpace broader data-center capital spending even as construction bottlenecks persist.

Customer economics can improve simultaneously if system productivity rises faster than Nvidia's content: Rubin is designed to deliver dramatically more throughput per megawatt and lower token costs than Blackwell Ultra. The competitive benchmark therefore moves beyond accelerator price toward output from the entire system, making isolated custom-silicon share gains a less complete measure of Nvidia's addressable opportunity. (08/27/26)

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Nvidia Full-Stack Revenue Opportunity Per Gigawatt



800V Power Opens Chip Upside

Nvidia 800-Volt Shift Expands Upside Opportunity for Power Chips

Nvidia's move toward 800V HVDC power architecture expands AI power-chip upside as semiconductor content rises from tens of thousands of dollars per rack today toward $100,000-plus in future megawatt-scale systems. The shift broadens the opportunity beyond GPU voltage regulation into high-voltage conversion, sensing, protection and rack-level power management. Scaled SiC and GaN suppliers -- Infineon, STMicro, Onsemi and Texas Instruments -- stand to be key revenue beneficiaries as Nvidia architectures move from Blackwell and Vera Rubin toward Rubin Ultra. (07/21/26)

18. AI Power Exposure Expands Beyond GPU Rails

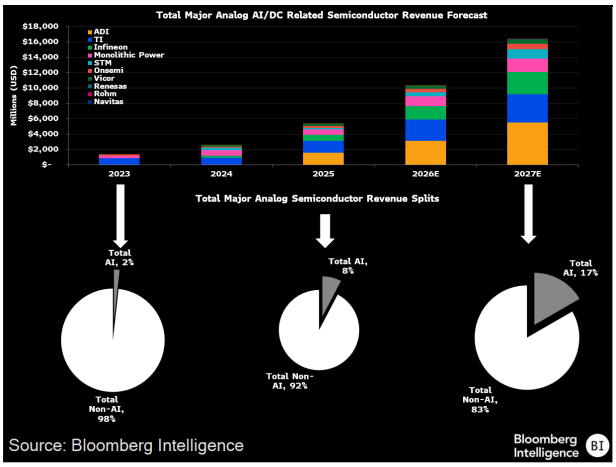
AI-related revenue exposure is moving beyond traditional GPU voltage regulation into rack-level power delivery, high-voltage conversion and data-center infrastructure. Monolithic Power, Renesas and Infineon benefited first from GPU-adjacent voltage-regulation content, but the next phase of the build-out in AI infrastructure broadens semiconductor exposure across the power chain.

Infineon, Texas Instruments, Analog Devices, Onsemi and STMicro are all positioning around future direct-current power architectures, spanning high-voltage conversion, bus conversion, sensing, protection and rack-level power management. In 800-volt high-voltage direct-current systems (800V HVDC), electricity is distributed through a rack or row at higher voltage, then stepped down near AI accelerators. That cuts current, reduces copper losses and supports denser racks, potentially expanding semiconductor wallet share per rack, particularly as power infrastructure becomes a larger constraint on scaling AI. (07/21/26)

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AI DC Sales Exposure Across Analog and Power Semis

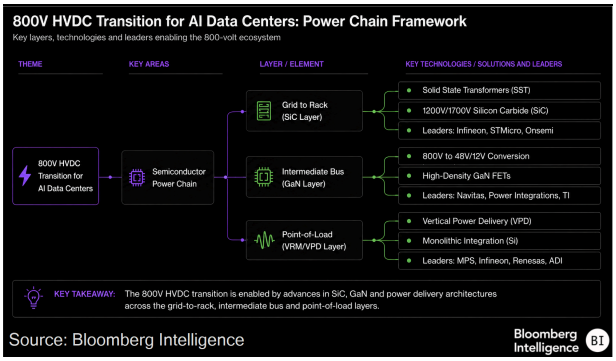


19. Rack Density Drives Shift Toward 800V Architectures

AI rack density is outgrowing legacy 48-volt power architectures. Rack power already exceeds 120 kilowatts today, and industry road maps increasingly target 500 kilowatt to 1 megawatt systems later this decade, worsening copper losses, heat constraints and infrastructure complexity.

Nvidia's 800-volt high-voltage direct-current architecture reduces current requirements by roughly 16x vs. 48-volt systems at equivalent power, enabling thinner cabling, fewer conversion stages and lower heat dissipation. The shift expands semiconductor content into high-voltage conversion, rack-level power delivery, protection and infrastructure management. Power content per rack is rising exponentially from a modest $5,000-$10,000 in legacy x86 server racks to $15,000-$30,000 in current Blackwell and Vera Rubin architectures, with future 800V megawatt-scale AI factories moving toward $100,000-plus. (07/21/26)

800V HVDC Power Chain Framework



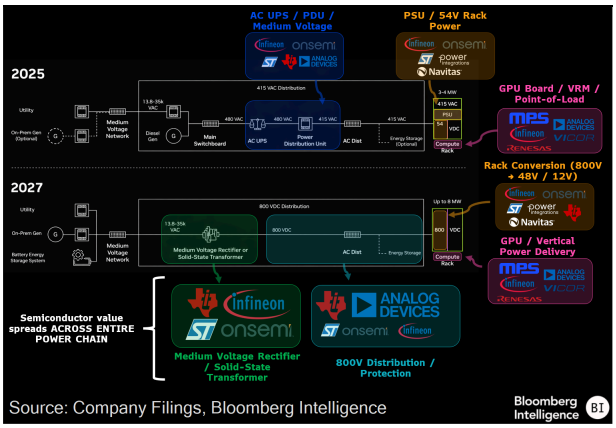
20. How Semiconductor Content Spread Across the Power Chain

(07/21/26)

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AI Data Center Power Architecture: 2025 vs. 2027

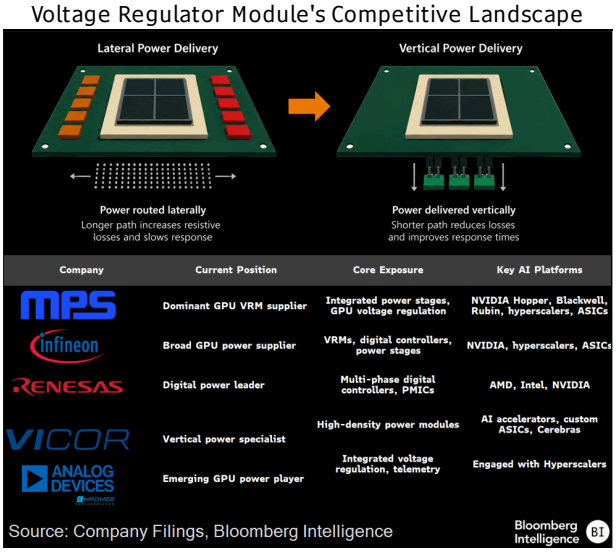


21. Vertical Power Delivery Shifts Voltage-Regulator Landscape

AI power profit pools remain concentrated near the GPU, where Monolithic Power, Infineon and Renesas hold leading positions across Nvidia, AMD and custom ASIC platforms. Voltage-regulation modules (VRM) convert higher-voltage input into the low-voltage, high-current supply that accelerators need, representing roughly half of AI power semiconductor value because GPU power delivery is complex.

Vertical power delivery is the next major upgrade, moving power components under or beside the accelerator to shorten current paths, improve efficiency and reduce cooling needs. Unlike 800V HVDC, this shift is already underway within existing 48V architectures, driven by rising GPU power density rather than changes to facility-level power distribution. The result is a lift in semiconductor content and average selling prices, with tighter integration and greater power complexity around the accelerator itself. (07/21/26)

Voltage Regulator Module's Competitive Landscape



22. SiC and GaN Gain Share as AI Power Moves to Higher Voltages

The shift toward 800V HVDC accelerates adoption of wide-bandgap semiconductors. Silicon carbide (SiC) is best positioned for grid-level conversion and 800V-to-48V stages because of its voltage

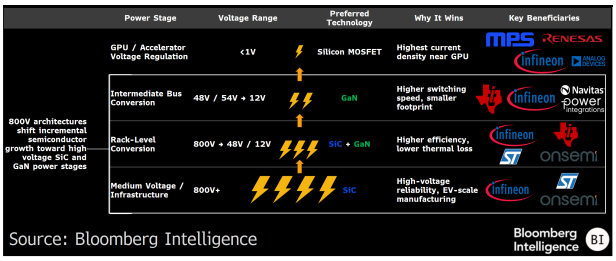
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capability, reliability and EV-driven manufacturing scale. Infineon, Onsemi and STMicro appear best positioned, given vertically integrated SiC manufacturing and hyperscaler engagement.

Gallium nitride (GaN) is gaining in intermediate conversion stages where switching speed, density and footprint matter most. Navitas, Texas Instruments, Power Integrations and Infineon all target these architectures, though scale and manufacturing capacity matter as hyperscalers prioritize long-term supply assurance. That favors larger integrated suppliers such as Texas Instruments and Infineon over smaller pure-play vendors, despite strong technology positioning at companies like Navitas. (07/21/26)

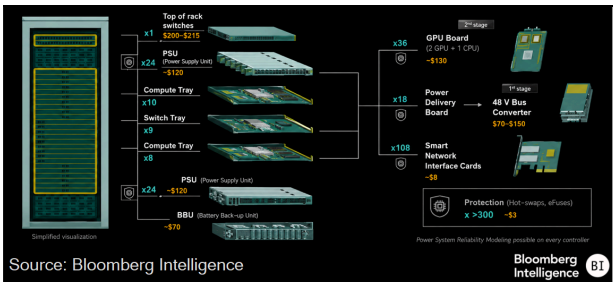
Where SiC, GaN Are Poised to Benefit



23. Content Per Rack Could Expand Into the Thousands of Dollars

(07/21/26)

Example of Power Chip Content in AI Servers



Extended Earnings Preview

Nvidia 3Q Upside as Rubin Ramps Up; Margin, Financing in Focus

Nvidia's fiscal 2Q results and 3Q outlook are likely to beat estimates again on Blackwell, networking and early Rubin strength, against a backdrop of expanding hyperscaler capital spending, with 2026 estimates for the top five up about 40% to more than $700 billion. The bigger debate is shifting to the 2H Rubin ramp-up, margin durability and AI financing. Rising HBM4 and foundry costs raise the pricing bar and pressure margins. Nvidia-led provider financing is broadening the demand runway beyond top cloud customers but also raises concern. Commentary on resumed China sales could provide another boost. (08/24/26)

24. Nvidia Needs Bigger Upside to Move the Stock

Nvidia's beat-and-raise pace likely remains intact, but the stock increasingly requires more than modest upside to rerate. Fiscal 1Q27 revenue reached $81.6 billion vs. consensus of $79 billion, with networking the standout at 16% above consensus while Data Center compute was roughly in line.

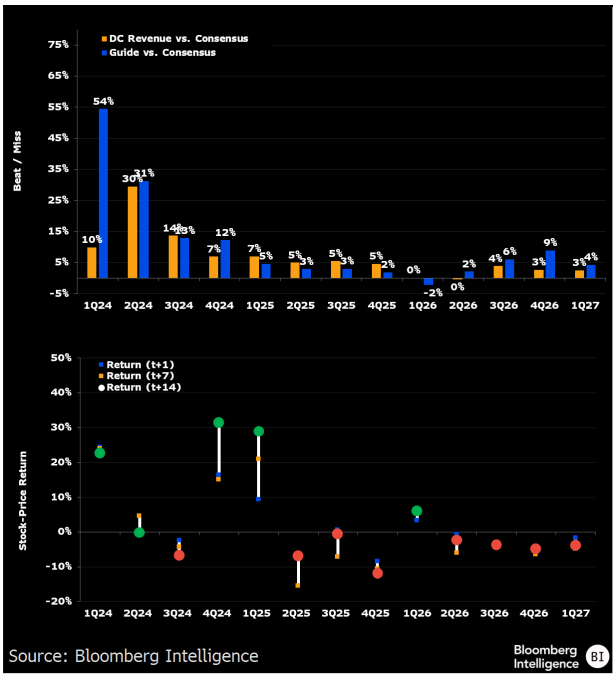
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Gross margin was also largely in line, while the $91 billion fiscal 2Q revenue guidance topped consensus by about 4% despite assuming no China compute revenue.

Yet shares were roughly flat to modestly lower after results, extending a pattern of muted or negative post-earnings reactions despite continued earnings beats. The focus is increasingly on whether upside can reaccelerate as Rubin ramps up, rather than another modest beat. With custom silicon, AI return on investment and spending durability still debated, a more meaningful guidance beat or stronger evidence of Rubin-driven growth might be needed to shift sentiment. (08/24/26)

Revenue and Guidance Beat/Miss and Market Reaction



25. Data-Center Capital Spending Has Room to Increase

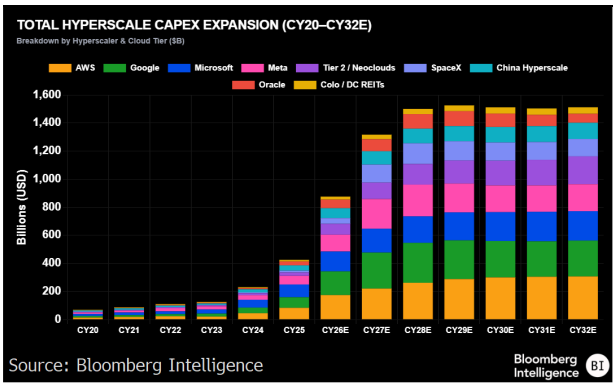
Nvidia is positioned to benefit from a hyperscaler spending cycle that keeps on growing. Top-five 2026 capital-spending estimates have increased to more than $700 billion from just over $500 billion entering the year, an increase of roughly 35-40%. Though memory inflation absorbs a bigger share of those budgets, the absolute pool available for accelerated compute is widening, supporting more GPU, CPU and networking deployments. That matters because hyperscalers still represented about 50% of Nvidia's data-center revenue in fiscal 1Q27.

Growth increasingly extends beyond the largest cloud providers. AI cloud, industrial and enterprise revenue already grew faster sequentially than hyperscaler revenue in 1Q, while new sovereign projects are adding substantial capacity. South Korea announced more than 2 gigawatts of Nvidia-linked data-center capacity with SK Group, while Naver is targeting a path toward 1 GW. Japan's government-backed Noetra plans a 140-megawatt facility using 27,500 Rubin GPUs and 13,750 Vera CPUs. Combined with new large-scale buyers like SpaceXAI and expanding neoclouds, these deployments suggest Nvidia's addressable infrastructure spending may keep broadening even as hyperscaler capex is elevated. (08/24/26)

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Total Hyperscale Capex Expansion



26. Nvidia Financing Push Expands AI-Infrastructure Runway

Nvidia is increasingly using its balance sheet, creditworthiness and external capital partners to expand the pool of infrastructure spending available beyond hyperscalers. Its new financing initiative with six major institutions can mobilize up to $500 billion of third-party capital for AI infrastructure, which could ease the funding and power constraints that have limited neocloud, sovereign and enterprise deployments. Morgan Stanley says the use of mostly outside capital should help reduce circularity concern while accelerating new capacity.

The strategy is already evident in projects. Nvidia aims to invest $1 billion in Naver alongside up to $9 billion from Brookfield, supporting a South Korean deployment expanding to 200 megawatts from 55 with a longer-term path to 1 gigawatt. Nvidia is also partnering with SK Group on more than 2 GW of data-center capacity in Korea, while Japan's Noetra committed to 27,500 Rubin GPUs and 13,750 Vera CPUs. These deals can extend Nvidia's demand through fiscal 2028 while reducing dependence on top-tier hyperscaler outlays. (08/24/26)

Strategic Activity and Capital Mobilization

Strategic Activity & Capital Mobilization

Partner / Project	Scale & Structure	Timing & Status	Strategic Objective
Compute Financing Alliance	Strategic capital partnership with Apollo, BlackRock, Blackstone, Brookfield, Goldman Sachs, and KKR to mobilize over 500 billion dollars in third-party capital.	Memorandum of understanding signed; final agreements pending.	Establishes a brand-new credit and financing market backed by NVIDIA hardware, accelerating the buildout of "AI factories" across the ecosystem.
Safe Superintelligence Inc. (SSI)	Long-term strategic partnership and equity investment.	Effective immediately; priority access to next-generation Vera Rubin systems.	Expands SSI's compute footprint by an order of magnitude, securing NVIDIA's hardware stickiness with premier safety-focused research labs.
Noetra Corporation (Japan)	Government-backed sovereign AI factory order of 27,500 Rubin GPUs and 13,750 standalone Vera central processing units (CPUs).	Production scheduled to commence in 3Q27.	Heavily validates non-cloud service provider sovereign demand, representing a key leg of growth beyond standard public clouds.
Naver Corporation & Brookfield	1 billion dollar direct investment by NVIDIA; Brookfield funding up to 9 billion dollars under a nonbinding term sheet.	Nonbinding term sheet signed.	Finances a massive sovereign data center in South Korea, expanding NVIDIA's regional cloud footprint.
SK Group (South Korea)	Strategic partnership to construct over 2 gigawatts of AI data centers.	Multi-year buildout.	Secures downstream demand while deepening critical memory supply-chain integration on the Korean Peninsula.
Amkor Technology	1.5 billion dollar advanced packaging agreement.	Supply chain deployment.	Bolsters US advanced packaging optionality and reduces geopolitical single-source bottlenecks.

Source: Bloomberg Intelligence, Company Filings

Bloomberg Intelligence BI

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27. Key Questions Heading Into Results

These are the top questions BI is watching for heading into earnings, focused on near-term fundamentals, key drivers and longer-term strategic positioning. (08/24/26)

Questions for Management:

- How steep is the Vera Rubin ramp-up through 3Q and 4Q, and can stronger Blackwell shipments offset any slower-than-anticipated early Rubin volume without disrupting the broader revenue trajectory?
- Can gross margins stay around the mid-70s as HBM4, foundry and other costs rise, and how much pricing power does it have to offset memory inflation as Rubin grows?
- Is ACIE still expanding faster than hyperscale, reinforcing the ability to outgrow hyperscaler capital spending and broaden demand beyond the largest cloud customers?

Earnings Call Details:

- Call Details

China AI Outlook for Nvidia

Nvidia H200 Access May Ease China AI Gap, Not Halt Local Shift

Limited H200 shipments to China can reopen a sliver of revenue for Nvidia, potentially representing upside of 4-6% fiscal 2027 sales, if approvals are granted and it can start shipping this year. That would be upside to consensus, given most models have excluded China for the rest 2026, and is unlikely to reset the market. BI's China CIO survey shows local accelerator budgets rising toward parity with foreign chips, while Huawei's evaluation pipeline and full-stack reach point to a lasting domestic-substitution cycle, even if Nvidia is allowed to ship targeted volume into China. (07/16/26)

28. H200 China Access May Add Upside, But It's Not a Reset

Potential H200 approvals for China can reopen a near-term revenue lever for Nvidia because consensus models largely assume no China data-center compute sales in fiscal 2027. An estimated targeted allocation of about 200,000 H200 chips each to Alibaba, ByteDance and DeepSeek implies total gross revenue of $15-$21 billion at $25,000-$35,000 per chip before fees. Average selling prices are uncertain, given unclear details on the form factor (cards, DGX/HGX systems, full racks) and the networking that would be shipped with each H200.

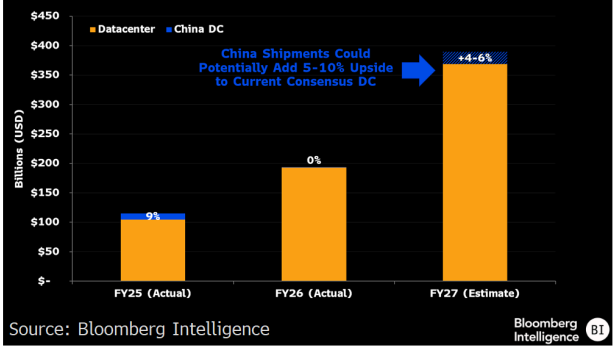
All of it would be upside, but is unlikely to reset the thesis on Nvidia’s long-term share prospects in China. Approvals appear quota-based and training-focused, while China’s long-term goal is domestic substitution. Conversion may also be supply-limited, as Nvidia has incentives to prioritize scarce advanced packaging, high-bandwidth memory and system capacity for Blackwell and Rubin with Western customers. (07/16/26)

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Potential Revenue for Nvidia From China

ASP ($ / H200 Chip)	Potential Units to 3 Customers (Baba, Bytedance, Deepseek) 200000	400000	600000
$25,000	$5	$10	$15
$27,500	$6	$11	$17
$30,000	$6	$12	$18
$32,500	$7	$13	$20
$35,000	$7	$14	$21

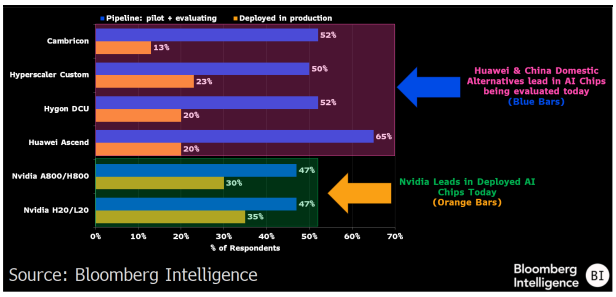


29. China's GPU Shift to Local Suppliers Gains Speed

China's AI-chip substitution has advanced with to Nvidia stymied the past 12 months, though deployment still trails intent. BI's China CIO survey shows local accelerators rising to 46% over the next 12 months from about 30% of AI-chip budgets today, with 44% of respondents expecting domestic chips to exceed half of their accelerator budgets vs. 12% now. That points to rapid localization intent, but not an immediate share shift, as domestic supply of compute, high-bandwidth memory, networking and related components are gating factors.

Nvidia still leads in production deployments where available. H20/L20 chips are used by 35% of respondents and legacy A800/H800 chips by 30%, while Huawei Ascend and Hygon DCU are closer to 20%. Yet the pipeline is shifting. Huawei Ascend has the largest proof-of-concept and evaluation pool at 65%, with HBM and advanced packaging the main bottlenecks. This supports a dual-track market where China uses limited Nvidia access for frontier training while expanding domestic chips into broader deployment. (07/16/26)

AI Chips Deployed vs. China Pipeline (BI Survey)



30. US-China Trade Restrictions Stymie AI Chip Sales

US export controls on advanced AI chips have evolved into a complex licensing regime, limiting sales not only to China but also to select Middle East markets like Saudi Arabia and the UAE. While Washington has signaled conditional approvals, actual shipments into China remain minimal, highlighting the gap between policy and execution. China as well has urged regional customers to rely

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more on domestic hardware solutions, reducing orders from Chinese hyperscalers. Nvidia and AMD have effectively excluded China from near-term AI revenue after tens of billions in lost 2025-26 sales.

Meanwhile, China's domestic ecosystem, led by Huawei's Ascend, continues to advance, raising the risk that prolonged restrictions accelerate regional self-sufficiency and the emergence of parallel AI supply chains. (05/11/26)

China Chip Restrictions Timeline (2022-26)

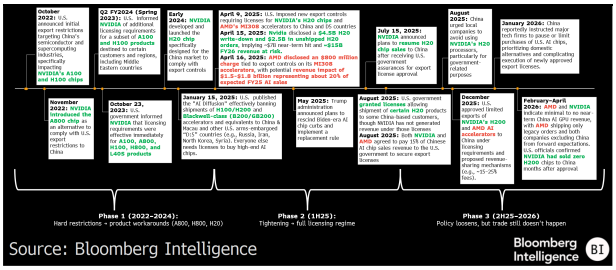


Chart Book

Company

Rubin, ACIE Extend Nvidia's AI Leadership Beyond Hyperscalers

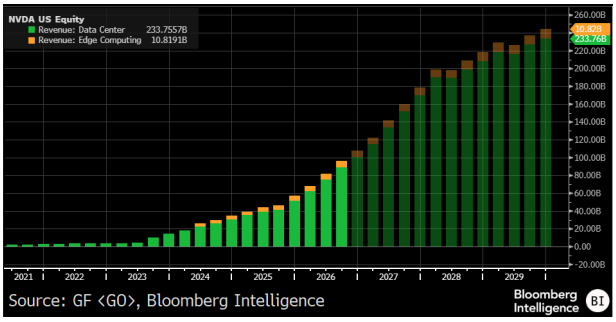
Nvidia's growth outlook increasingly extends beyond graphics processors sold to hyperscale customers, with fiscal 2028 revenue projected to rise about 70% despite supply constraints and ACIE remaining a major growth driver. Vera Rubin is ramping into production, while rising content per gigawatt across processors, networking and inference can let Nvidia outgrow broader data-center capital spending even as custom-chip adoption increases. Gross margins may settle in the low-70% range as higher memory costs offset gains from a broader AI infrastructure offering.

To access live data and charts, please click on the links under the images below. (09/02/26)

31. Data-Center Revenue Driven by AI Spending

(09/02/26)

Revenue Segment Consensus Forecast



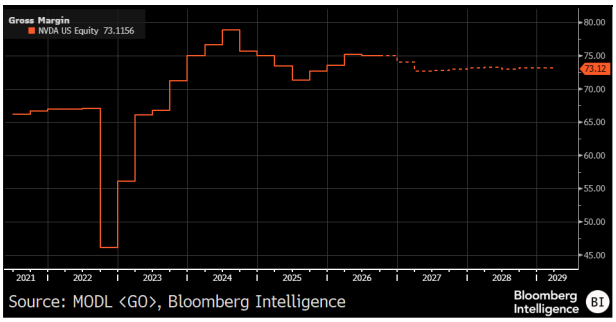
32. Margins to Moderate to 73% Given Higher Memory, Component Costs

(09/02/26)

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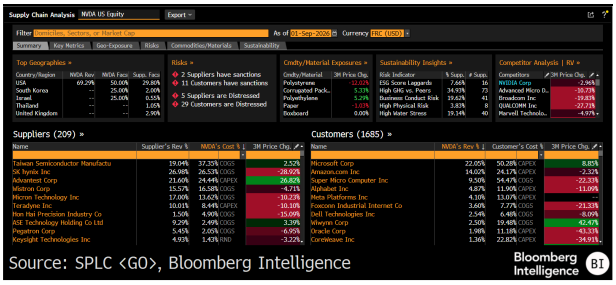
Gross-Margin Consensus Forecast



33. Greater Customer Concentration With Hyperscalers

(09/02/26)

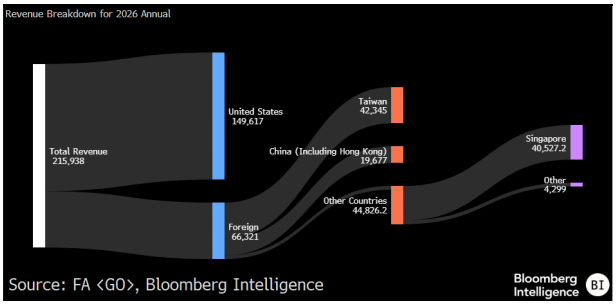
Top Customers



34. More Than Half of Sales Come From US

(09/02/26)

Geographic Revenue Breakout



Peer Comparison

Nvidia Extending Its AI Lead as Custom ASICs Expand

Nvidia's competitive advantage is shifting beyond graphics-processor share toward a broader role across AI infrastructure. NVLink Fusion and NVHBM could let the company generate revenue from custom-chip deployments through connectivity, memory and rack-scale systems, including Trainium and MediaTek programs. Vera Rubin, Vera CPU and Groq LPU further broaden Nvidia's exposure across training and inference, which can help offset accelerator-share losses as AI architectures diversify.

To access live data and charts, please click on the links under the images below. (09/02/26)

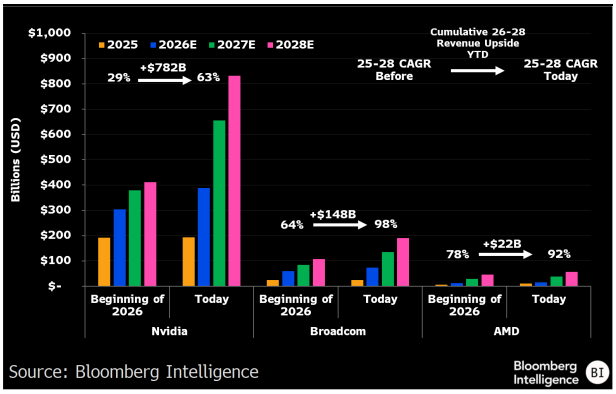
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35. Leads AI Data-Center Chip Peers in Sales

(09/02/26)

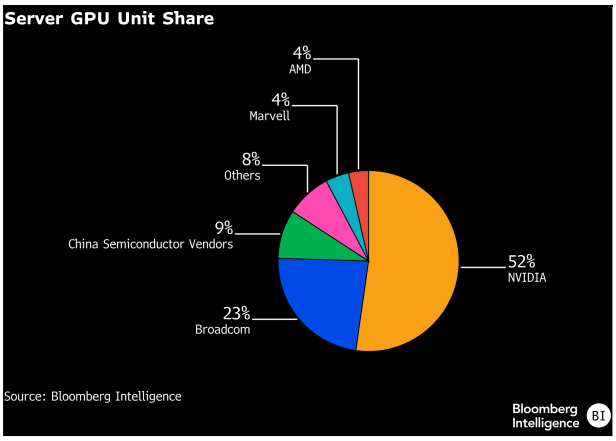
AI Revenue Forecasts



36. A Goliath in the GPU Market

(09/02/26)

IDC Server GPU Market Share



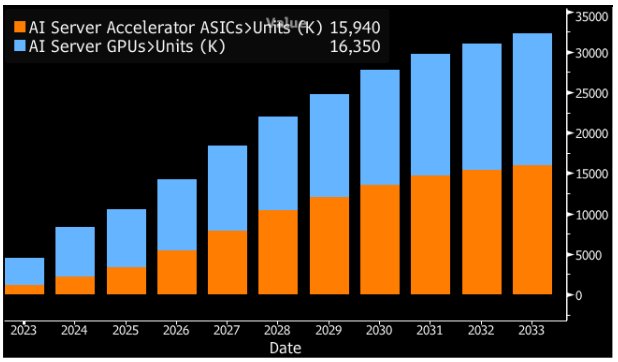
37. GPU Units Poised to Sustain Growth Despite ASICs

(09/02/26)

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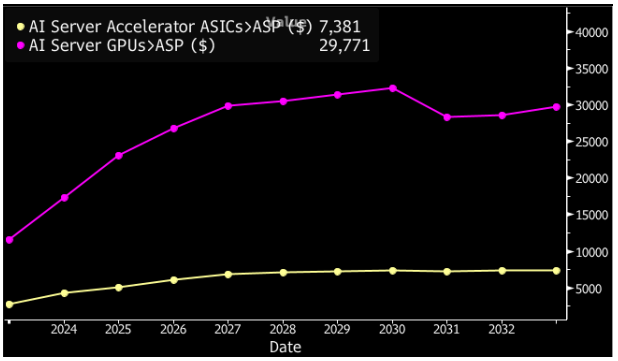
BI AI-Chip Unit Forecast



38. GPUs Maintain Premium Price Over ASICs

(09/02/26)

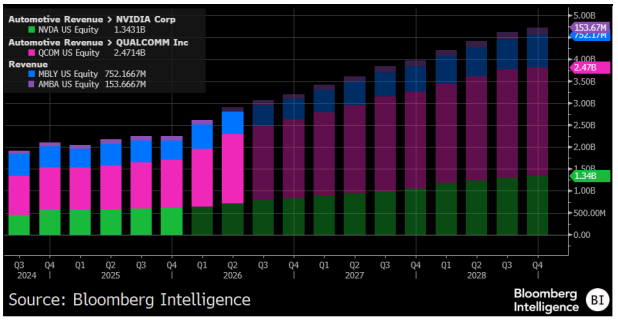
GPU and Custom ASIC Average Selling Prices



39. Auto/Robotics to Become Larger, Rival Other ADAS Peers

(09/02/26)

Auto AI/ADAS Peers



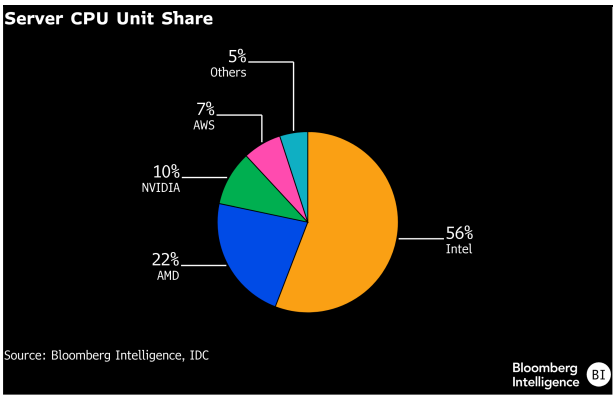
40. Gaining Share in Server CPU with Vera

(09/02/26)

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IDC Server-CPU Market Share



Industry Themes

Custom AI ASICs Outlook

Custom AI Semiconductors Continue to Challenge Nvidia, AMD GPUs

The rapid proliferation of open-weight AI models like Kimi and DeepSeek could commoditize the software layer, shifting economic value toward hardware infrastructure. This dynamic will likely bode well for custom ASICs as hyperscalers seek to optimize inference costs and capture higher margins. The compute requirements to train and serve these models, along with demand for flexible architectures, should also ensure merchant GPUs from Nvidia and AMD remain indispensable, driving a dual-track capital spending boom that expands the total addressable market for both silicon architectures. (08/11/26)

41. Open-Weight Models Shift Focus to ASIC Cost Advantages

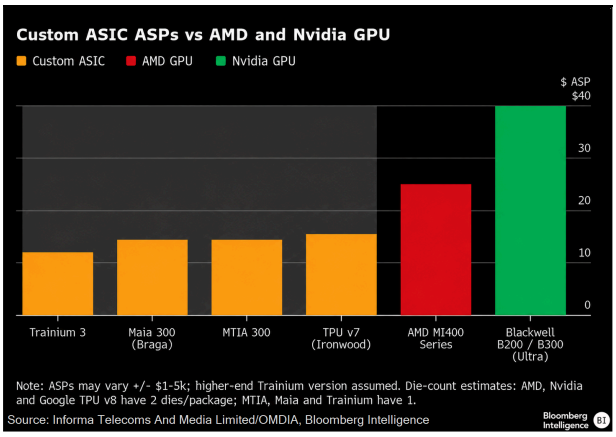
The proliferation of open-weight models like DeepSeek, Qwen and Kimi could commoditize the AI "intelligence layer," shifting the industry's economic moats to physical infrastructure and hardware-acquisition costs. For hyperscalers hosting these open-weight models, custom ASICs offer significantly lower average selling prices (ASPs) than merchant GPUs. Nvidia's Blackwell B200 package commands $30-$40,000 ASP, but premium custom silicon like Google's TPU v7p costs roughly $15,000, and cheaper inference variants like the Trainium series can be deployed for as little as about $8,000. The ASP discrepancy stems from system-level margin stacking. Custom ASICs allow cloud giants to procure peripheral components directly, bypassing the 75%-plus gross margin Nvidia earns on its tightly bundled reference architectures. The historical software moat is also eroding: open-source native compilers are increasingly bypassing Nvidia's CUDA platform, making it easier to port open-weight models to alternative silicon.

By running optimized inference workloads on architectures like TPU v7, hyperscalers can achieve an all-in total cost of ownership (TCO) that's materially lower than an equivalent deployment of Nvidia's GB200, cementing vertical integration as more attractive for hyperscalers who have the scale and resources for heavy R&D and engineering. ASIC programs require significant upfront costs, including $1-$3 billion for advanced nodes. (08/14/26)

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GPU & Custom ASIC ASPs

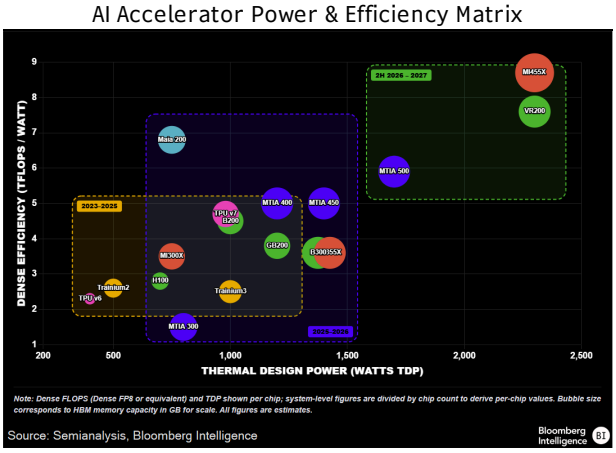


42. Custom ASICs Challenge GPUs on Real-World Efficiency, TCO

As AI scales, custom ASICs are challenging merchant GPUs by focusing on TCO and workload specialization rather than raw compute performance and flexibility. Merchant vendors tout massive dense FP8 FLOPS, yet real-world constraints -- such as power delivery and dynamic frequency scaling -- often limit GPU Model FLOP Utilization (MFU). In contrast, ASICs paired with bespoke compilers achieve significantly higher MFU for targeted workloads. For example, TPU v7 when deployed in a 3D Torus configuration, delivers an all-in TCO that is much lower than a GB200 server, offsetting a minor shortfall in peak theoretical performance. At an optimized MFU, TPU v7 reduces cost per effective training FLOP. ASICs also tend to operate at significantly lower thermal design power.

However, the ASIC advantage is nuanced. Nvidia and AMD maintain a formidable software moat via their CUDA and ROCm platforms, offering flexibility across diverse workloads out of the box. In contrast, ASICs require deep engineering resources to build custom compilers and optimize workloads. Missing architectural shifts can also penalize ASICs; for instance, Trainium 3's lack of native FP4 support leaves it with a higher TCO per marketed FP4 FLOP than Nvidia's latest silicon. Even if not universally deployed, robust ASIC programs serve as a vital strategic lever for hyperscalers to negotiate better merchant GPU pricing. (08/14/26)

AI Accelerator Power & Efficiency Matrix



43. Megadeals Validate Custom ASIC Strategies

Hyperscalers originally designed custom ASICs for internal workloads, yet a wave of multigigawatt commercial agreements has validated them as a pillar of heterogeneous compute strategies. Leading

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frontier AI labs are diversifying their silicon dependencies to secure capacity and lower costs. Anthropic recently signed a 10-year, $100 billion agreement for up to 5 GW of Trainium compute, while also committing to a 5-GW-plus TPU v7 rollout that includes $21 billion in direct rack purchases and likely billions more of compute in cloud rentals. OpenAI is similarly embracing heterogeneous infrastructure, backing a 10-GW, $150-$200 billion custom "Titan" XPU deployment with Broadcom through 2029, alongside a 2-GW Trainium pact and a $24.6 billion commitment for Cerebras wafer-scale systems via cloud capacity.

Even hyperscalers are cross-pollinating: Meta is leveraging Broadcom for 3 GW of turnkey MTIA systems while also renting multigigawatts of Google's TPU capacity. This third-party adoption shows custom silicon has become adoptable by third parties, offering bankable performance for the world's most advanced AI models. (08/11/26)

Third-Party ASIC Deals Signal Custom-Silicon Adoption

External Custom ASIC Deals

Hyperscaler	External Customer	Hardware Deployed	Deal Capacity	Financial Structure & Value	Deployment Details & Timeline
Google	Anthropic	Google TPU v7 (Ironwood) & Next-Gen TPUs	Up to 3.5GW – 5GW+ total compute	$21B+ Direct Rack Purchases ($10B Q3'25 + $11B Q4'25) + GCP Cloud Rental	Phase 1: 1GW starting 2026. Anthropic trains Claude 4.5 Opus.
Google	Meta	Google TPU v7 / v8 (via GCP)	Multi-gigawatt scale	Multi-billion dollar multi-year cloud agreement	Meta leasing Google TPUs via GCP for recommendation systems, ranking, and AI training/inference.
Google	Apple	Google TPUs (via GCP)	Undisclosed	Multi-year cloud rental contract	Apple renting TPU capacity to power Apple Intelligence and private cloud AI processing.
AWS	Anthropic	AWS Trainium 2, Trainium 3 & Trainium 4	Up to 5GW compute capacity	$100B, 10-Year Commitment by Anthropic to AWS + $13B+ Amazon Equity Investment	Project Rainier: 400k Trainium2 cluster in '24–'25. Ramping 2GW by YE26 on Trainium 3, scaling to 5GW on Trainium 4.
AWS	OpenAI	AWS Trainium 3 & Trainium 4	~2GW of Trainium capacity	Expanded $100B, 8-year compute contract with AWS	OpenAI committing to consume ~2GW of Trainium capacity starting in 2026/2027.
AWS	Databricks	AWS Trainium 2	Enterprise cluster scale	Multi-year GenAI partnership	Databricks adopting Trainium2 instances as lead external inference customer for MoE models (DBRX).

Source: Bloomberg Intelligence, Company Filings

Bloomberg Intelligence BI

44. GPUs Undisputed Standard for Versatility, Yet ASICs Catching Up

Custom application-specific integrated circuits (ASICs) are becoming more versatile after initially targeting narrow internal workloads, but merchant GPUs retain an advantage in flexibility. Complex agentic workflows and expanding context windows require adaptable compute, supporting demand for Nvidia's Blackwell and Vera Rubin platforms and AMD's MI350 and MI455 series. Their programmability is important for frontier-model training and enterprise cloud deployments, particularly for the 10-20 companies without R&D budgets to develop custom chips.

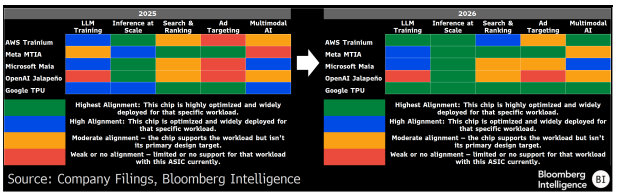
The software ecosystem reinforces that advantage. Millions of developers already build and optimize workloads on Nvidia's CUDA platform, easing deployment relative to bespoke ASIC software. Competition is increasing, however. AMD's partnership with Anthropic can accelerate development of its open-source ROCm platform and narrow Nvidia's software advantage. (08/12/26)

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Bloomberg Intelligence

2025 vs. 2026 ASIC Workloads



Credit Primer

Could Double Buyback Authorization

45. Nvidia Shock & Awe Unleashes Growth, Returns: Credit Outlook

Contributing Analysts Robert Schiffman (Credit) & Suchi Trivedi

THESIS: Following another record quarter for revenue and Ebitda in fiscal 2Q27, Nvidia's visibility into fiscal 2028 revenue points to an extended period of exceptional growth and shareholder returns that could outpace its largest technology peers. Even as Nvidia deploys its balance-sheet strength to support LLMs and neoclouds that need capital to fund purchases of its products, formidable liquidity and cash generation provide ample flexibility to meet that demand without weakening credit quality. Continued earnings growth and balance-sheet strength position Nvidia increasingly close to the elite AAA ratings tier.

Even after heavy issuance, in-line to modestly wider spreads vs. quality peers leave limited room for compression, making balance-sheet strength and cash-flow durability more important than near-term spread improvement. (08/29/26)

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